



With the likes of Apple and Samsung setting up shop, companies are increasingly considering the country as an option for their global value chains

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demographic. Much of our manufacturing base sits in Western and Southern India, while the talent pool is concentrated in the North and East. Employers need to invest in bridging that gap,” he says.

Only 5-10% factories in sectors like automobiles, pharma, and FMCG packaging are fully automated; the remaining are semi-automated or manual. Singh says high-automation companies (those using robotics) are facing the most talent shortage, and reskilling is catching up only slowly. In semiconductors, for instance, talent is often brought in from overseas alongside the machinery; these experts train the trainers locally. “We see a similar pattern of intensive on-the-job training in automotive engine plants and electronics man-

ufacturing, where skill and digitisation demands are high,” he says.

While successive governments have made efforts on skilling, not enough has been achieved. The PLFS 2025 data revealed that 58.9% workers between 15-59 years did not receive any vocational or technical training. The India Skills Report 2024 highlighted that the overall young employability has improved to 51.25% over the previous year.

Singh says just as boardrooms plan succession at the leadership level, companies need succession planning on the shop floor—building their own supply chain of talent.

Meanwhile, even when workers receive formal skill education, the quality is not ideal. This is reflected in the State of Working India 2026 report, which found that

the number of Industrial Training Institutes (ITIs) have increased by nearly 300%, led largely by private ITIs. “But this expansion has been accompanied by a decline in institutional quality, particularly among private providers,” it said.

Various government initiatives have had very limited success. The PM Internship Scheme that aims to improve employability of youth by providing on-ground experience at top India Inc firms has made little headway. It has received poor response from applicants, leading the government to expand the eligibility criteria in the third pilot round. Of the 368,000 internship opportunities posted in the three pilot rounds since the launch of the scheme in October 2024, only half the number of offer letters—186,000—were